

Stop location. Use the information from [Table 64.7](#) as guidance to help locate a stop-loss order. Once you have decided where to place a stop, change the potential loss into a percentage of the current price. If you start sweating, then consider moving the stop or abandoning the setup (trade) altogether.

Busted trade. Downward breakouts that single bust can lead to a large gain. Consider trading busted downward breakouts for a big potential rise. Of course, if the triangle doesn't single bust, then don't trade it (that's a variation of a Will Rogers joke).

Apex Turning. Look back at [Figure 64.4](#). Draw a line from the apex of the triangle (that is, where the two trendlines join) directly downward until it intersects price. Notice how the stock turns there (it stops going down).

I measured how often this works and wrote an article about it on my website (<http://thepatternsite.com/Apex.html>). I concluded, "Price reaches a minor high or minor low 75% of the time within a few days of the triangle apex. Price turns from down to up or up to down 60% of the time."

If you draw your triangle accurately enough, then you'll know where price may turn by looking at the apex.

Experience

I've traded ascending triangles 44 times and made money 55% of the time. I rarely trade them now because I don't consider them a reliable chart pattern. Let me share with you a few lessons.

Andrew Corp., Kenneth Cole Productions, and Park Electrochemical

Andrew Corp. (ANDW), Kenneth Cole Productions (KCP), and Park Electrochemical (PKE): In all of these stocks, I bought inside the ascending triangle, before the breakout. The stock broke out downward instead of the expected upward direction. I sold quickly and took a small loss in each of them.

- Lesson: Wait for the breakout before buying.